

JOHN SHORT reports on the growing rift within the Coalition over consumption tax.

How tax could sink a marriage

LIKE Paul Keating, the Deputy Liberal Leader, John Howard, is about to find out that economic dynamos who are ahead of opinion in their own political parties on sensitive issues like tax reform should never venture on to foreign soil.

The Treasurer was plagued by media reports when he was overseas in April that people who were in the cart when he departed had suddenly jumped off. Those going AWOL were apparently enticed away because the arguments of his opponents came into ascendancy simply because of his absence. While the cat is away the mice will play.

The Deputy Liberal Leader, in absentia, came under strong attack at a meeting of the Opposition front bench last week for failing to attack what are seen by some of his colleagues as major weaknesses in the White Paper. There was little real discussion because of Howard's absence and the debate is due to start in earnest next Tuesday.

Howard will be well armed with briefing material prepared by his staff (who never seem to get any sleep) when he walks into Tuesday's meeting. Like Keating, his tactic will be to show his colleagues that there is no real alternative to continuing to support a general consumption tax, although at perhaps a lower rate than that proposed in the White Paper.

Howard will be deeply upset when he is briefed by his staff on the events of last week's Shadow Ministry meeting. He has invested much blood, sweat and tears in bringing the Coalition around to endorse his position on the need for a broadly-based consumption tax.

But the most damaging news he will receive is that one of his strongest allies, Opposition Senator leader, Senator Fred Chaney, was one of those leading the charge in attacking his handling of the Coalition's criticisms of the White Paper proposals — ably helped, of course, by top National Party figures who are now only beginning to realise the damaging political consequences of a consumption tax in rural Australia because of the impact on fuel costs.

Reports of last week's Shadow Ministry meeting show that Senator Chaney was seriously concerned about the likely impact of the White Paper proposals on the community and the economy.

Additionally, the Opposition Senate leader is said to have expressed dissatisfaction with the failure of the Opposition's tactics in terms of highlighting these perceived weaknesses in the White Paper. He particularly stressed the possible inflationary problems resulting from the large consumption tax rate proposed by the Treasurer.

This was a strong criticism of Howard as he is responsible for developing the Opposition's tactics on tax policy.

Immediately following the release of the White Paper on June 4, the Opposition Leader, Andrew Peacock, and Howard attacked the Government for proposing to introduce a capital gains tax, in particular because it would hit estates and gifts. They therefore dubbed it a de facto death duty and gift duty, something Peacock repeatedly told the electorate in the 1984 election campaign he would not have a bar of.

The failure of the Government to also tackle what the Opposition sees as too high a level of Government spending was also stressed by the Liberal leaders.

But the criticisms of the major plank of Paul Keating's tax reform plans — the 12.5 per cent consumption tax — were muted. Howard said on the day of the White Paper's release that the general consumption tax option was "by far the most sensible of the approaches canvassed".

These same points were followed up by the Opposition Leader the following day, with the addition of a re-statement of the Coalition's 1984 election policy which favours the broadening of the tax base and income tax cuts through a combination of income splitting and tax rebates for child care costs.

It was not until after last week's Shadow Ministry meeting that the Opposition's public statements began to focus on the hefty size of the proposed consumption tax rate and highlight the likely impact on farmers.

Last weekend saw both the National Party leader, Ian Sinclair, and his deputy, Ralph Hunt, attacking the consumption tax proposal and criticising the adverse impact it would have on farmers.

Hunt also came out in favour of a flat rate tax — something Howard successfully defeated both as Treasurer and again in 1983 when the Coalition was putting its own tax policy together.

And the deputy National Party leader joined with Senator Chaney in supporting the proposal emanating from the Centre of Policy Studies at Monash University which calls for the abolition of the present \$4,595 tax free threshold — a move that could severely disadvantage low income earners.

Suddenly Peacock and his colleagues were expressing concern about the sheer size of the proposed consumption tax rate. What was necessary, they added, was that broadening of the tax base should occur gradually and predictably — not in one big hit.

COALITION CONSENSUS



The tactic for the Opposition when responding to the White Paper has always been to highlight the differences between Labor and itself. As a direct result of prompting by Fred Chaney, the Opposition's cutting edge has been sharpened. The focus of attention has switched significantly to the consumption tax.

It now appears that the driving force behind the Opposition's tactics on tax reform is Senator Chaney. On Wednesday the Opposition Senate leader was in Brisbane where he called on the Prime Minister to cancel the summit in the wake of the Treasurer's very public rejection on Tuesday of the growing push to exempt food from the 12.5 per cent consumption tax. Coincidentally, Senator Chaney was in Melbourne yesterday where he met with his leader. Later in the day Peacock was holding a press conference advocating the cancellation of the summit.

The push by Senator Chaney to harden the Coalition's attack is seen within the Opposition as reflecting the growing concern that, when it comes to key aspects of tax policy, the positions of the Government and the Opposition are going to be seen by the electorate as little more than a choice between Tweedledum and Tweedledee — and thus no choice at all.

But the move is fraught with difficulties because of Howard's well known stance on the need for a broadening of the tax base and the

implementation of that position through a retail sales tax with few, if any, exemptions — that is, the stance now being advocated so forcefully by the Treasurer.

The Opposition cannot afford to humiliate John Howard on taxation and would be severely damaged if the growing rift within the Coalition over the issue became a chasm.

Additionally a strategy based on maximising public differences between the Coalition and the Government on tax would hasten the inevitable demands for details of how the Opposition's policy would work.

The basic electioneering tactic of Andrew Peacock is to criticise his opponents wherever and whenever possible while stonewalling on what he would do in office. He successfully pursued that strategy in the 1984 election campaign and wants to do so on tax for as long as possible.

The Liberal leader argues that it is not the role of an opposition to fully detail its policies about 30 months from the next election. The Opposition's aim is to keep the spotlight on the Government's policies and hope it produces a political backlash that can be exploited subsequently. Therefore, why distract attention from the Government by spelling out one's position in any real detail?

But the pressures now on Andrew Peacock will not allow him to enjoy this luxury for too long. He will have to respond in detail on the Coalition's

policies when the Government takes a final decision on its tax package. That could be as soon as four months' time.

If the Coalition dropped its support for a consumption tax — and thus dropped John Howard — it would lose all credibility. It will therefore continue to support the broadening of the tax base, without being too specific about the vehicle it would choose to implement its policy.

But can it continue to attack the proposed rate of 12.5 per cent without saying what level it would initially pitch its own indirect tax at and without specifying the speed with which it would seek to reach its specified target rate?

Once the Coalition nominates a different rate, questions will be asked about how the resultant revenue loss will be paid for — and the greater the drop in the starting rate, the bigger the revenue shortfall. If the Opposition pledged to cut the consumption tax rate to 5 per cent, it would have to show how it would come up with spending cuts to finance the \$7 billion shortfall.

And unless it did so, the Government would launch an all-out attack on the Coalition's credibility — and politicians know that a key deciding factor in any election is which party voters see as the most credible in the area of economic management.

John Howard can be expected to stress the need for the Opposition to retain its credibility at all costs when he argues with his colleagues on Tuesday.

Why people are only worth their weight in plastic

KEITH DUNSTAN mourns the passing of the pre-plastic era and awaits personal identification cards with trepidation.

NATURALLY you have noted the awesome news — this week the Federal Cabinet is debating whether we should all have personal identification cards.

I don't see this as another infringement on my fading civil liberty. I don't even see it as another example of a fearsome Big Brother in action. But can one's ailing brain and tattered wallet cope with yet another number, yet another card?

We went through it all when living in the United States. Whenever one went in to a store, whenever one tried to cash a cheque: "You got your ID?"

"Um ... sure ... it's ... ah ... 092-26-2537."

So you would carry your ID card and, with a bit of luck, you could remember the number.

Now, of course, a bank is not a bank unless it has a super credit card, called the Easy Bank, the Flexiteller or whatever. They give you a Personal Identification Number, your PIN for God's sake.

When you get your PIN they give you dire instructions to commit it to memory. Don't ever leave that number lying round, not in your wallet, not anywhere. You are supposed to read it on the secret piece of paper they give you, then swallow the evidence. I don't know about you, but I don't remember too well.

Our bank has outlets all over. You can use the instant card at super markets and petrol stations. Last week I went in to get some petrol. The girl handed over a sinister looking device complete with its own little screen and 12 push buttons. "Key in your PIN please," said she, sweetly.

Suddenly it was gone. That TV screen in my brain went blank. I couldn't remember the damned PIN.

"Look," I explained, "I'm terribly sorry, I've forgotten it. Do you think you would take a Bankcard?"

She looked back suspiciously, detecting immediately a conman, a thief, who was trying to rob the system. "Awww. I suppose that would be all right."

Quite apart from your PIN, you also have to remember your telephone num-

ber and, even worse, a lot of us have security numbers. It's the thing now to have a burglar alarm on your house. Outside you have a system of numbers. You have to punch in the right numbers before you enter.

If you don't get it right within 30 seconds the alarms and bells start shrieking as if World War III is at hand.

Some people even have these code numbers on their cars. There was a large Mercedes in the City last week, its horn shrieking in agony. I was most sympathetic to the poor owner. I realised at once the poor devil couldn't remember his code number.

So we will get an ID card, presumably a pretty thing with your picture on it in full colour. Another damned thing to carry.

Well dammit, already I have cards from three department stores, Visa, Mastercard, Diners, and this wondrous thing from the bank that requires a PIN number.

There's the driver's licence, another pretty card with a colour picture; there's a card from the automobile club, there's a mil key, a strange electronic thing that lets me through the security door into the office.

Of course, the Americans love this sort of thing. Much prestige depends on the weight of your plastic. Your cards should open in your wallet like a novel the size of *The Thorn Birds*.

If you have four credit cards you are almost an acceptable human. To be a true business American you should have 10.

Ah, but to be a trendy, a jet setter to be admired by all, then nothing less than 15 will suffice. However, the scary thing is what to do when you can't find your poor suffering Thornbirds-size wallet. That happens to me every day.

Until I find it, I suffer. I think of all the cards with 14 digit numbers, all the firms that have to be telephoned and advised, the awful government institutions that have to be contacted. "Please, I have no identity, I have lost my ID."

There was a letter in the mail last week from a firm, which said if I paid so much insurance every year, then they would insure against loss of all my cards. As soon as I lost my wallet, just call them and they would do the rest.

Sometimes in fits of madness I think how simple it was in the pre-plastic era when we didn't have cards at all.

Deprivation and disease stalk our classrooms in the bush

Things have changed since the days when white teachers erected barbed wire fences around their homes to keep Aborigines out. But there are other problems to be resolved in remote schools, as AMANDA BUCKLEY reports.

WHO would go teaching in the hundreds of big Aboriginal communities in the Northern Territory?

There are no telephones; only radio links with the outside world. The power supply is unreliable. Roads are impassable in the wet and you can't reach the towns, hundreds of kilometres away. Food, airlifted in, is expensive.

Often, half the children you are teaching know no English and you know no Warlpiri, Gurindji, Aranda or Pitjantjatjara.

Over half the children you will teach, the statistics say, suffer hearing disabilities as a result of middle-ear infections that scar the tissue permanently. A similar proportion suffer from trachoma, an eye disease that requires constant attention to eradicate.

Other diseases, like leprosy — practically unheard of in Australia's white community — are common. And yet more and more dedicated young teachers go out in their four-wheel drives every year, and many of them learn to love the new life.

Ms Christine Nicholls, is the head teacher at Lajamanu school serving an Aboriginal community over 650 kilometres north-west of Alice Springs. "I do it because I really like it — you get to really like the community and the people," she says. "It's a great little school."

The community — one of the reserves that came into Aboriginal control with the 1976 Land Rights Act — is made up of about 700 or 800 people, mainly from the Warlpiri tribe. These desert dwellers are about as close as you can get these days to fully tribal Aboriginal people.

When white settlers brought in their droves of cattle early this century, the days were numbered for the original tribal life-style. The Aborigines who roamed the land kept fit by constant walking and healthy by living off a wide range of bush food. The settlers' cattle fouled Aboriginal water holes — the mainstay of nomadic life — and threatened traditional food sources. The Aborigines, having to settle near white homesteads to get their daily food, thus began years of health problems, malnutrition and dispossession.

Since 1976 when big tracts of land in the Northern Territory began to be handed back to the Aborigines (they will soon own about a third of it) there has been an attempt to return to some aspects of the old life. The outstation movement, where Aboriginal families leave the big settlements to camp near their traditional hunting and religious sites, is one example.

Most community leaders realise that in order to survive the harsh realities of white law in Australia, their children must get a thorough education.

At Lajamanu the community works closely with the school. Parents sit in on classes and help their children read and Aboriginal teaching assistants,



Kalkaringi School near Wave Hill Station in the Northern Territory ... in some schools white teachers barred Aboriginal staff from the tea room.

often only paid part-time, work tirelessly to help white teachers keep order.

Lajamanu has had a bi-lingual program since 1982 and Ms Nicholls is delighted that the children who have learned under the program to read and write their own language have similar literacy levels to white children in the same age groups, something almost unheard of in Aboriginal schools.

When school teachers, teaching assistants and community leaders met with the House of Representatives Select Committee on Aboriginal Education last week, they discussed the many problems that had to be faced if the school was to continue its success.

The sympathetic and co-operative attitude of the present teaching staff could easily change. In past years some white teachers excluded Aboriginal staff from the tea room. Some teachers took the job only as a means of saving money and built barbed wire enclosures around their homes to keep the Aborigines out.

There was none of that attitude last week, with the Aboriginal leaders and teachers doing most of the straight talking, but, with a teacher turnover rate in the Northern Territory of 20 to 25 per cent each year (about five times the national average), the school council does not want to take any risks.

As was the case with most of the Aboriginal schools the committee visited, the parents wanted to be able to help select the teachers who came out to the communities.

And they wanted more training in Aboriginal culture for the white teachers before they arrived. At present the teachers are given no special training to face a classroom where all the children speak a foreign language.

Most importantly, they wanted more Aboriginal teaching assistants so that there could be one in each classroom and they wanted on-site training for the assistants to enable them to get proper teaching qualifications without having to go to Bachelor College near Darwin.

Ms Nicholls pointed out that the school had 182 enrolled pupils with only nine teachers, including the principal and deputy. Staff numbers had dropped steadily since 1983 while enrolments remained about the same.

One of the teachers had hepatitis, a common problem for staff at the community along with lingering viruses and boils. The school was running two adult courses for the community as well as providing the school with Warlpiri texts for the bi-lingual program, along with the normal teaching load. The school had had no adult educator since 1983 and there was concern that the school would lose one of its teachers next year.

Up to 70 per cent of the students had a significant hearing loss, according to a report by one community health worker.

With a note of desperation, the nine teachers submitted a statement to the committee asking for assistance in getting more permanent teaching staff. "If conditions, such as the staffing situation at Lajamanu, the loss of curriculum development and advice, and the results of further cuts to Aboriginal education, prevailed, it will be hard to foresee Aboriginal schools in the Northern Territory attracting experienced teachers, or indeed any teachers," they said. "Since Aboriginal education is a stated priority of the Commonwealth Government, the situation in the Northern Territory would appear to contradict this policy."

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